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# InnoSphere Ventures

Scaling Early-Stage Venture for India's Deep Tech Expansion

*Powered by Edge Alpha*

*Conviction sparks. Consensus amplifies.*

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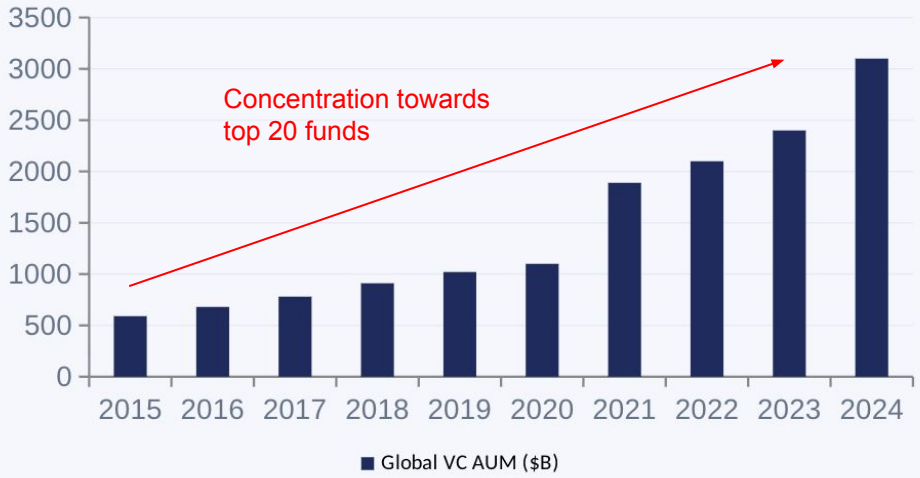
MARKET STRUCTURE

# Early-stage venture has scaled in AUM — but not in structure. This created a top-heavy fund universe

This divergence reflects allocator preference for **established platforms**, resulting in a widening gap in the size of GP's.




**9.2x AUM growth (2009 - 2023)**

The asset class grew

**62% in the top 20 firms**

Global LP base expanded significantly, but only in the top

**WIDENING GAP**

**Structural gap between small and mega-sized GP's**

*Source: Preqin 2025 Global Report: Venture Capital (VC AUM reached ~$3.1T by early 2024).*

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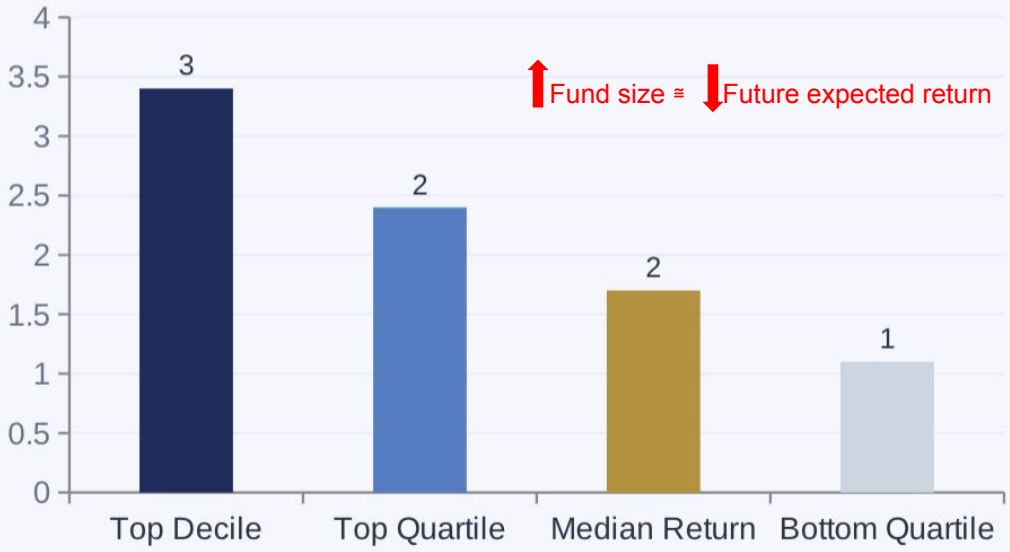
RETURN REALITY

# Venture is a dispersion-driven asset class. - InnoSphere targets a 3x DPI.

Historically, smaller fund sizes have demonstrated stronger top-decile outcomes due to capital discipline and entry pricing discipline.




**3x+**

Top-decile net TVPI target — the institutional benchmark

**1.7x**

Median return — insufficient to cover illiquidity premium

**<1.2x**

Bottom quartile — effective capital erosion after fees

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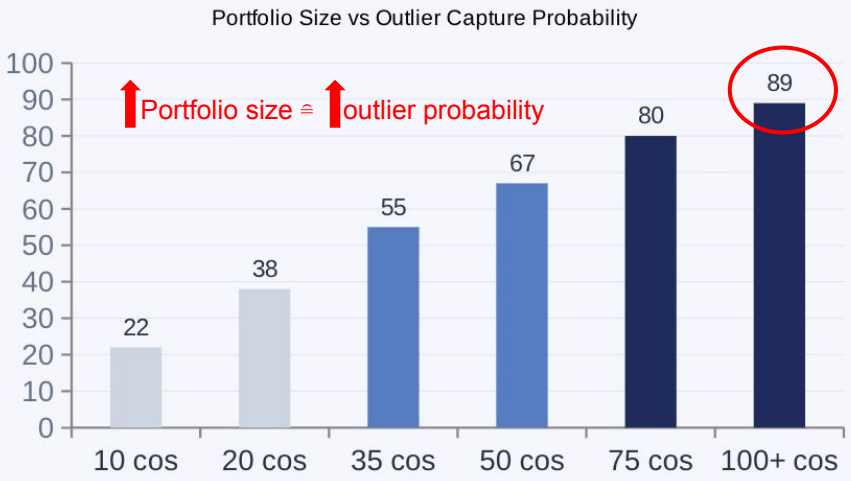
PORTFOLIO CONSTRUCTION

# Portfolio construction discipline is key to capture outliers; concentrated portfolios often don't.

*Illustrative portfolio model simulation*




Model informed by widely documented venture power-law dynamics (e.g., Cambridge Associates; Kauffman Foundation; EUVC fund modelling cohort 2025).

**01**

### Concentration creates pressure

Capital concentration in fewer bets increases **deployment pressure** — diluting entry discipline.

**02**

### Scale improves outlier capture

Broader exposure **raises the probability** of capturing power-law outliers.

**03**

### Structure is the edge

A 100-company portfolio isn't diversification for its own sake — it's **engineering outcome distribution.**

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INDIA: STRUCTURAL CONTEXT

# India's founder and capability base is compounding fast - driven also by state-led industrial policy.

Founder supply, talent depth and state-backed industrial expansion suggests a **structural capital deployment opportunity.**

**200K+**

**Registered Startups**

20–30% CAGR (2010–2025)

Source: DPIIT, Government of India — Startup India Portal (2024).

**2.5M**

**STEM Graduates / Year**

3× US output annually

Source: All India Survey on Higher Education (AISHE), Ministry of Education, Government of India

**₹8T+**

**State Industrial Capex**

PLI, industrial programs

Source: Ministry of Commerce & Industry; Invest India; PLI Scheme Documentation (2023–2024).

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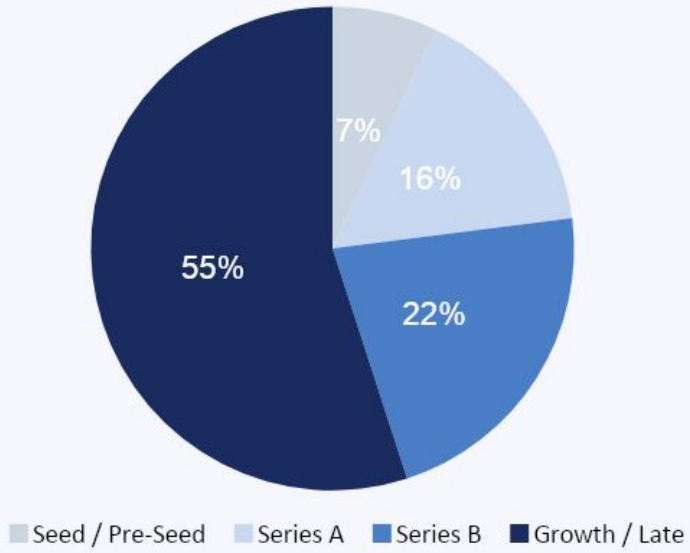
CAPITAL INEFFICIENCY

# Capital allocation is skewed toward late-stage, creating asymmetric opportunities.

Early-stage deployment has not scaled proportionally to founder supply. That creates structural entry asymmetry.




**55%** of Indian VC capital absorbed by Growth and Late-stage

**23%** combined allocation at Seed and Series A

**GAP** Founder pipeline expansion exceeds the growth of early-stage investments, creating **entry-level pricing inefficiencies.**

Source: Bain & Company, India Venture Capital Report (2023–2024).

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INVESTMENT THESIS

# Our thesis is aligned with India's structural capability expansion and long-term growth outlook.

*Select Investment Cases*

**01** Water & Smart Cities

## Cluix

*Digital Water Governance Infrastructure*

- Only ~30% of municipal wastewater is treated, Urban drinking water access remains inconsistent
- Limited digitization of public water infrastructure
- Public procurement ecosystem seeking scalable smart-infrastructure solutions

*Our Thesis: "The Stripe of Water Governance"*

**02** Agricultural Productivity

## Gocarin

*Sustainable Livestock Feed Systems*

- Dairy productivity ~20% of international benchmarks
- High import dependency; strong policy incentives for domestic feed production
- Direct digital distribution to 70M+ dairy farmers

*Our Thesis: "The Coca Cola of Ag-Tech"*

**03** Aerospace & Logistics

## Dashagriv

*Airship-Based Logistics Platforms*

- India's first High-Altitude Platform System (HAPS)
- Stratospheric payload services for telecom, defense, and space infrastructure
- Dual-use capability aligned with sovereign communications and monitoring needs

*Our Thesis: "The SpaceX for the Stratosphere"*

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INVESTMENT FRAMEWORK - POWERED BY EDGE ALPHA

# An investment framework for systematic early-stage capital allocation.

*Powered by Edge Alpha*

**01**

## Disciplined Selection

Structured, algorithmically supported evaluation frameworks.

*Reducing idiosyncratic bias.*

**02**

## Portfolio Construction & Return Optimization

Continuous portfolio-level modeling, milestone-based capital deployment.

*Maximize probability-weighted outcomes.*

**03**

## Proprietary Operating Layer

Real-time analytics and support infrastructure.

*Support founders at the edge.*

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EDGE ALPHA OS

# A Proprietary Operating Layer for Early-Stage Capital.

*Powered by Edge Alpha*

## 01 Origination & Selection

Structured / algorithmic sourcing · Standardized deal scoring · Standardized decision making framework

→ ***Consistent, comparable deal evaluation***

## 02 Risk Optimization

Portfolio-level exposure monitoring · Milestone-based follow-on signals · Large portfolio approach to capture outliers

→ ***Disciplined outlier capture***

## 03 Return Optimization

Structured capital allocation · Performance-based follow-on deployment · Real-time readiness indicators

→ ***Improved returns and distributions (DPI)***

## 04 Portfolio Value Creation

KPI instrumentation across portfolio · Consistent investment benchmarking · Analytical workflows and execution tools

→ ***Improved milestone velocity and capital efficiency.***

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INVESTMENT PROPOSITION

# Top-Decile returns in India's industrial transformation, early stage opportunity - powered by a Edge Alpha

## 1

### India’s industrial transformation

India's founder density and industrial expansion create a multi-decade deep tech growth opportunity.

## 2

### Early-Stage Pricing Inefficiency

Early-stage capital remains structurally under-allocated relative to later stage. This is a pricing inefficiency we want to exploit.

## 3 *Powered by Edge Alpha*

### Institutional Capital Discipline

Our proprietary investment platform brings structured evaluation, portfolio construction, and capital allocation to early-stage investing.